

\$6,400
\$12,800
\$25,600

As you can see, the real growth comes after the money has doubled several times. By using the rule of 72, you can calculate how much you'll have by a certain time and you can compare the long-term effects of interest rates on various investments that you own.

Double Savings, Don't Double Debt

You can use the rule of 72 to see how long it will take your credit card or other debt to double, too. If you have a \$5,000 credit card balance with an interest rate of 10 percent, your debt will double in 7.2 years. If the interest rate is 19 percent, your debt will double in 3.8 years. You can see why it's so hard to pay off your credit card debt, especially if the interest rate is high. If you're only paying the minimum payment each month, it doesn't take long for your balance to double.